

The Children's Investment Fund – Q4 2008 Report

1. Fund Performance

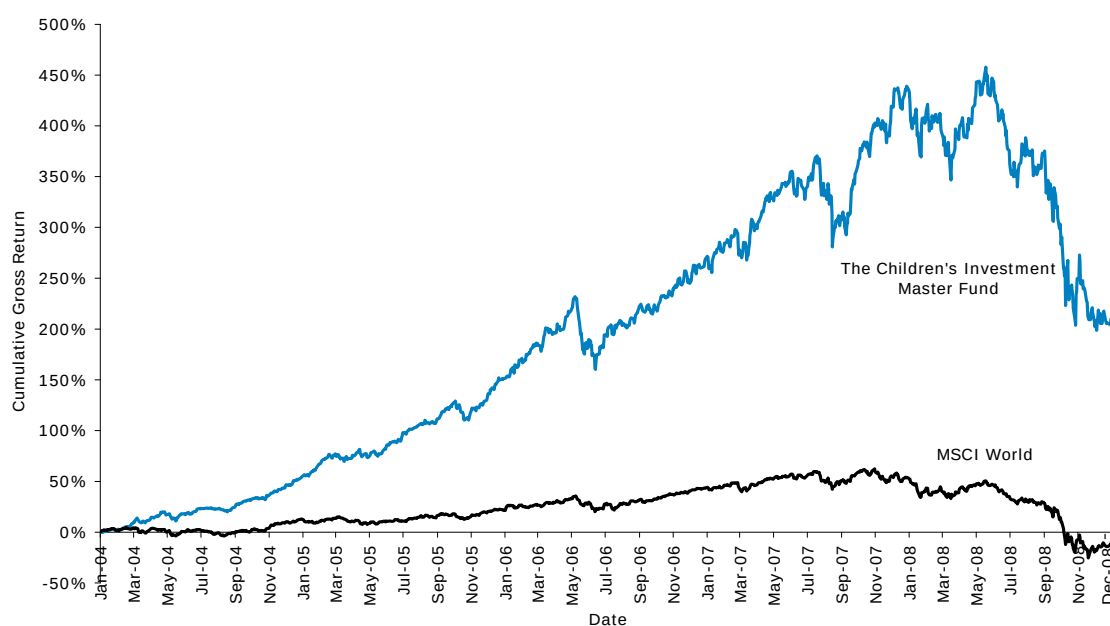
Returns for this period, net of both management and accrued incentive fees for the fund, are shown in the table below:

Period	Master Fund Assets (£m)	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Dec 2008	7,093	-2.06%	-2.16%	-2.06%	-2.16%	3.06%
Nov 2008	8,685	-9.67%	-9.78%	-9.67%	-9.78%	-6.72%
Oct 2008	9,763	-13.39%	-14.41%	-13.39%	-14.41%	-19.04%
Q4 2008		-23.38 %	-24.45 %	-23.38 %	-24.45 %	-22.18 %
Q3 2008		-15.59 %	-15.49 %	-15.59 %	-15.49 %	-15.67 %
Q2 2008		-2.56 %	-1.96 %	-2.56 %	-1.96 %	-2.45 %
Q1 2008		-9.73 %	-9.54 %	-9.73 %	-9.54 %	-9.53 %
2008		-43.11 %	-43.37 %	-43.11 %	-43.37 %	-42.08 %
Annualised		+18.24%	+17.47%	n/a	n/a	-2.35%
Inception		+131.11%	+123.72%	n/a	n/a	-11.20%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

The Children's Investment Master Fund vs. MSCI World (\$)
Since Inception to December End 2008



Notes: Performance for The Children's Investment Master Fund is gross of management and incentive fees and includes dividends reinvested.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

In USD terms (for the 3 year share class) the fund ended the quarter down 23% and the year down 43%, both reflecting the performance of MSCI World (shown on the previous page). The performance of the fund in 2008 tracked world equity markets (both down circa 42%) which have collapsed with the banking crisis and resulting global recession.

Since our last quarterly newsletter, economic fundamentals everywhere have continued to deteriorate in a materially worse manner than previously expected. The US and European economies are in a serious decline at both the corporate and consumer levels. The bankruptcy of Lehman Brothers proved to be a turning point in further destroying confidence in the credit markets. There is almost no business that has not been negatively affected in some form. Moreover, the cost of equity and debt capital is probably now elevated for a protracted period, reducing equity valuations. As a result we decided, during the fourth quarter, to materially reduce both the fund's long and short exposures.

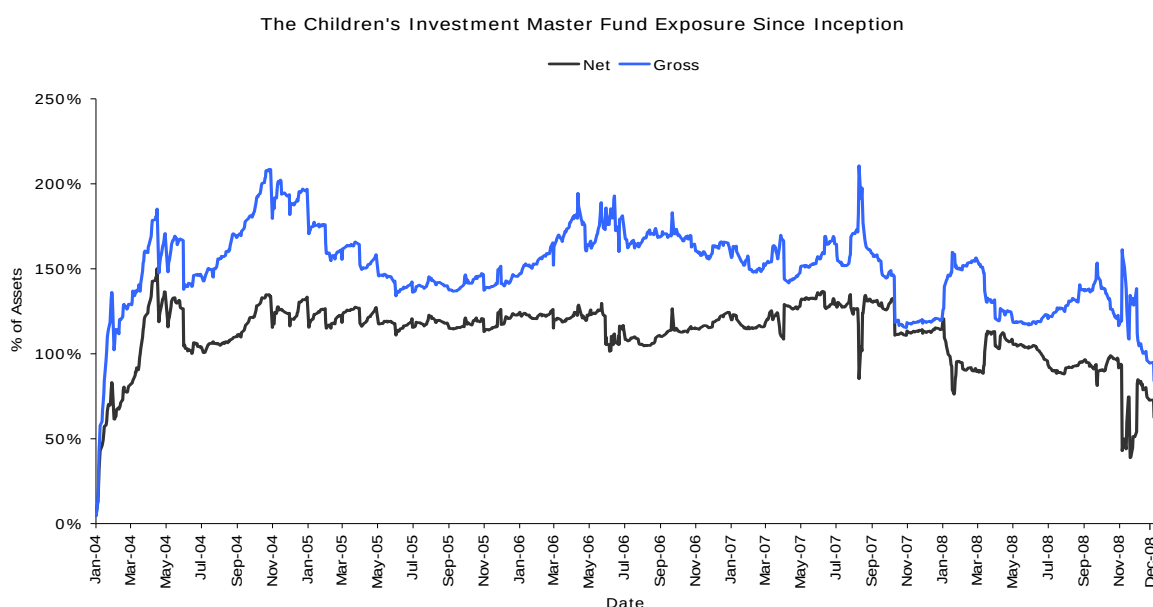
2. Key Fund Data

a. Exposure Summary

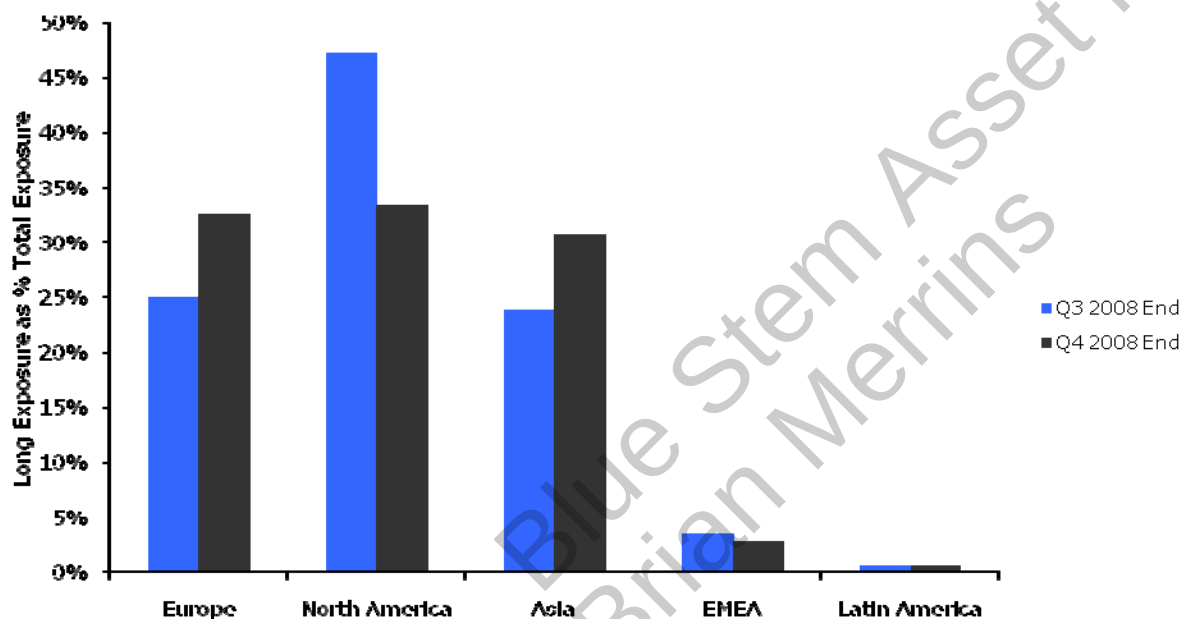
Currently the fund is 54% long and 32% short in stocks and 22% net long stocks.

% of Master Fund Net Assets				
Period	Longs	Shorts	Gross	Net
End Dec 2008	67%	-4%	71%	63%
End Nov 2008	94%	-38%	132%	56%
End Oct 2008	102%	-8%	110%	94%
End Sep 2008	116%	-25%	141%	91%
End Aug 2008	117%	-21%	138%	96%
End Jul 2008	114%	-21%	135%	93%
End Jun 2008	112%	-15%	127%	97%
End May 2008	113%	-9%	122%	104%
End Apr 2008	116%	-7%	123%	109%
End Mar 2008	122%	-10%	132%	113%
End Feb 2008	123%	-34%	156%	89%
End Jan 2008	123%	-28%	151%	95%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.



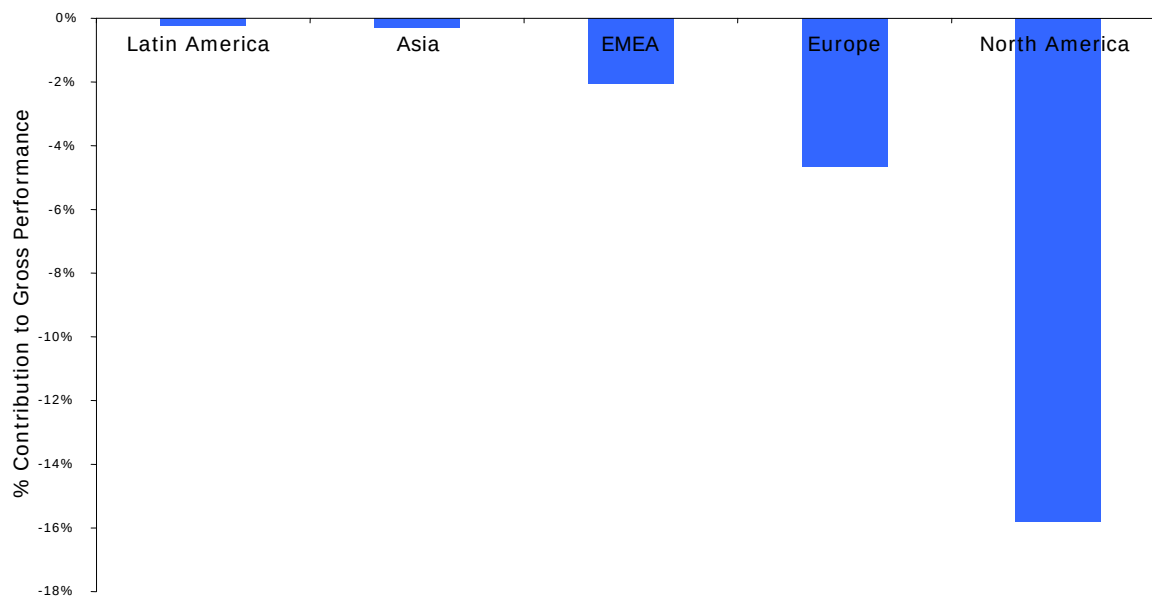
Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

b. Q3 2008 vs. Q4 2008 Portfolio Geographical Exposure

Notes: Figures are re-based to a total of 100 and are on the long book only. EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

Over the fourth quarter the fund raised its liquidity. As a result of reducing its concentration to some of the larger North American positions, the exposures in Asia and Europe grew proportionally. However, there was no actual increase in capital deployment to these regions.

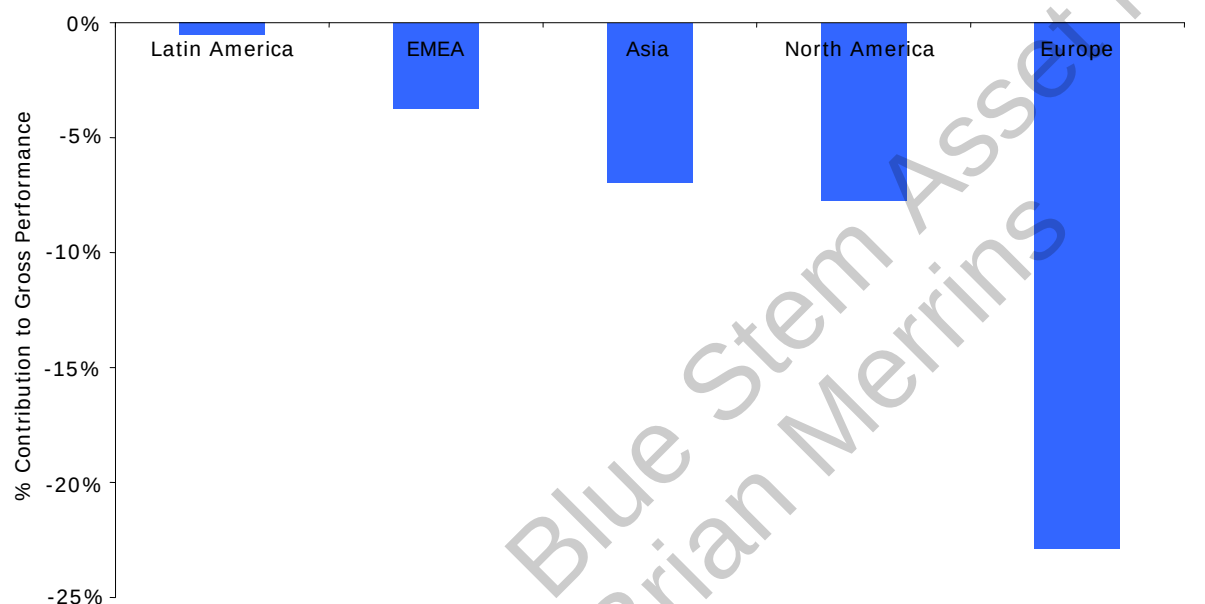
c. Q4 2008 Performance Contribution by Geography

Notes: EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

As in Q3, the fourth quarter saw all regions as detractors to performance, with North America and Europe being the worst.

d. 2008 Performance Contribution by Geography



Notes: EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

During 2008 all regions were detractors to performance, with Europe and North America being the worst.

3. Portfolio Review for Q4 2008

CSX and Union Pacific

Our position in CSX has been materially reduced at the end of the quarter to approximately 11% of the fund as a result of the expiration of one of our two swap positions. Our position in Union Pacific was also reduced and now represents approximately 2% of the fund.

Rail volumes during November and December have shown significant weakness as a result of large declines in industrial production, housing starts and automotive production. A material part of this is due to destocking which will, at some, point reverse. Our core thesis on continued pricing power and cost reductions driving long term earnings growth remains intact but it is likely that 2009 will not be a year of earnings growth for railway companies if the economy remains as weak as it currently is. In our view, the massive declines in stock prices during the quarter have left these stocks significantly undervalued.

Deutsche Boerse

In December Deutsche Boerse's supervisory board elected a new chairman, Dr Manfred Gentz. Dr Gentz is the former CFO of Daimler Benz. The company, also in early December, issued a press release stating that talks regarding a possible merger with the NYSE-Euronext had been terminated. In our opinion there is increasing pressure for consolidation in the exchange space due to the need for increasing economies of scale in investment in the OTC derivatives opportunity and the need for global rather than regional clearing houses. In December the ECB instructed banks to clear credit default swaps through a central clearing house based in Europe by the end of Q2 2009. In our view this increases the need for Deutsche Boerse to consider a merger and we believe that there are essentially 3 options – CME, NYSE and ICE – which still retaining the Frankfurt Stock Exchange. The

stock has remained weak during the quarter as concerns over trading volume declines weighed on sentiment.

Indian Banks

There were a number of positive developments for our Indian bank holdings during the quarter. The most important of these was multiple interest rate cuts from the central bank of India which has driven down bond yields to close to 5%. This has created significant book value gains for all of the public sector banks we own because of their very large holdings of government bonds.

The Indian Central Bank has also cut, to around 5% of assets, the cash that must be held by banks with the central bank itself. This frees up more capital for banks to lend at profitable rates. Despite an expected increase in non-performing loan provisions to between 1% and 2% of loans we still expect earnings to grow 20% pa as top line of 15-20% growth and cost growth of 10% creates operating leverage despite higher provisioning.

It is worth noting that India never had anything close to the problems experienced elsewhere for the subprime loan, securitisations or home equity loans (except for Citibank India). Part of the credit for this goes to a strong regulator, V.Y. Reddy, who was the governor of the Reserve Bank of India. He imposed strict lending standards including banning lending against raw land except for construction loans. Banks in India were banned from securitising loans so they had an incentive to make sure lending standards were maintained. Risk weightings on commercial real estate lending were also increased. As a result Indian public sector banks have so far not had any material problems from the financial crisis and are fully deposit-funded institutions with strong growth in their deposits. Loan to deposit ratios are now approaching 100% and the loan book is now only growing in line with deposit growth.

We do believe that these stocks can perform well during 2009 due to their extremely low multiples and continued earnings growth in a falling interest rate environment.

The Link REIT

Link REIT reported strong interim results in November 2008, further highlighting the strength of the business and scale of change that is taking place in the company.

The most visible improvement has been accelerating uplift in rental rates towards normal market rent levels as new management upgrades the tenant mix, introduces a pro-active leasing strategy and speeds up the renovation of the top 25 shopping malls.

Period	Half Year Sep 2006	Full Year Mar 2007	Half Year Sep 2007	Full Year Mar 2008	Half Year Sep 2008
Average Rental Rate Uplift	4.9%	9.9%	13.7%	22.5%	25.7%

Source: Company results

The Hong Kong economy is likely to suffer in the face of global recession. Link's shopping malls are highly defensive because they supply the basic necessities of everyday life (e.g. fresh food and vegetables, household items, fast food restaurants and bill payments). In fact, there is evidence that the consumer down-trading is benefitting Link's tenants.

Less visible change but equally important include the continued upgrading of the top management team (e.g. new head of leasing joined in Jan 2009; new CFO will begin later in Jan), the implementation of a modern real estate IT system, and fine-tuning of the executive compensation system which will bring about positive long-term benefits.

Given that Link REIT is a non-controlled, professionally-managed company with high dividend yield and payout ratios mandated by law, we are confident that it will prove to be a solid investment in current downturn. In our view, over the next several years, Link will continue to increase revenue/earnings and consistently demonstrate its defensive nature. Trading at an approximate 6% dividend yield, with double digit growth potential, stock offers tremendous value especially considering local interest rates are less than 2%.

Visa

During the quarter we eliminated the fund's Mastercard position and concentrated our card processor investment in Visa. We believe Visa is a stronger company due to its far superior position in the US debit cards business, where it has a 70% market share in this structurally growing segment. In addition, the creditworthiness of its credit card users is materially superior to that of Mastercard giving likely outperformance in volumes. Moreover, we think that Visa will meet earnings expectations in 2009 due to strong cost cutting and price rises even if volume growth overall is mid-single digit.

The issue of overall spending volumes is a concern on our investment in Visa. People will clearly spend less due to the recession. We have tried to analyse the impact of this by reviewing long periods of historic data going back 80 years. Personal Consumption Expenditure (PCE) has tended to be not worse and mostly better than nominal GDP in bad economic times. This is logical because capex is more volatile than consumption. The worst nominal consumption, besides the great depression, has been -2%. We forecast a -2% nominal volume growth for Visa in the US and a -5% for PCE in the economy which is consistent with a real and nominal GDP of -5% in 2009 (far worse than consensus expectations). PCE in October was +2% and +0.5% in November.

In summary the valuation case remains that normal (non-recession) top line of 7-8% ex pricing due to plastic penetration and PCE growth should translate into 12% EPS growth due to operating leverage plus the 6% entry free cash yield should give 15-20% total shareholder returns.

4. Outlook

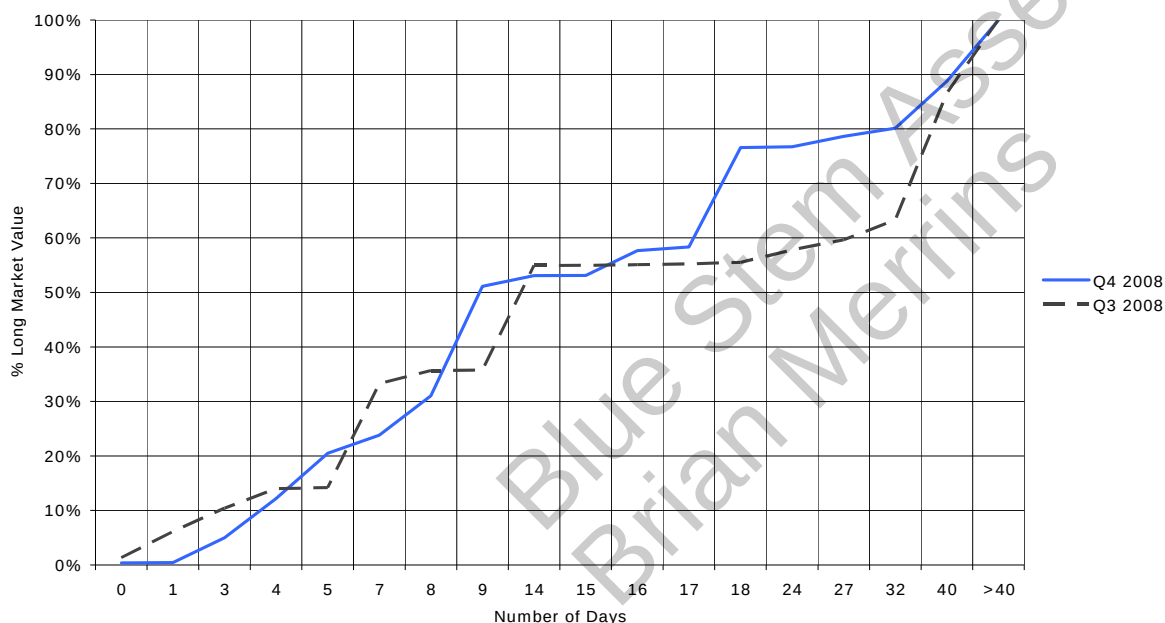
Risks to financial markets and the economy remain very high. Banks are only just beginning a multi-year period of deleveraging, which will reduce credit in the real economy significantly. It is our opinion that the problems in banks are materially worse than is generally assumed and deteriorated significantly in November and December. We believe that many European banks would be insolvent if they marked their assets down to today's fair level. The US government rescue of Citigroup suggests that US banks have similar problems.

Some of the best real-time indicators show clearly that the US economy is in free fall. Income tax withholdings fell nearly 6% in December due to lower bonuses, job losses and temporary plant closings. Job postings have tumbled double digit in November and December, suggesting the US economy is shedding jobs at a huge rate. To some degree offsetting this are the lowest mortgage rates in 40 years and collapsing oil prices, benefiting the struggling US consumer. The big picture problem remains that the US consumer, a key driver of global growth, will spend less because of the lack of readily available credit, a fall in wealth because of the fall in house prices and stock markets, and the decrease in job security.

The bubble in credit markets pushed economies and corporate earnings materially above their normal levels in all sectors of the economy. Estimating where earnings will settle for many sectors is very challenging today.

5. Liquidity Analysis

The Children's Investment Master Fund - Liquidity Profile Q4 End



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long positions only.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

6. Personnel

Patrick Degorce retired from the TCI partnership effective January 1 2009. John Sheridan, who has been co-covering financials investments with Patrick during 2008, will now assume responsibility for covering our Indian bank holdings. We eliminated nearly all but one of our European bank investments earlier in 2008. We are currently net short 2% of NAV in European banks with no material long exposure. I will continue to cover the Deutsche Boerse position (as I have done since its origins) working with John Sheridan.

7. CIFF

As you are aware, The Children's Investment Fund Foundation (UK) (CIFF) is a significant investor in the fund and has held substantially all of its capital in the fund since TCI's inception. As a result of recent events in global financial markets and CIFF's statutory duty of care in relation to the exercise of its investment powers, the board of CIFF has decided to diversify its investment portfolio. During November 2008 CIFF requested a redemption of 45% of its holdings in the fund. The directors of the fund approved the redemption, which was met from the available cash reserves of the fund. The fund continues to hold significant cash holdings.

CIFF has also requested a transfer of its remaining interest in the fund to a managed account probably at the end of Q1 2009. CIFF (US), the US sister foundation to CIFF, is also an investor in TCI, (albeit much smaller) and has also requested a redemption of its holdings in the fund to be effected at the time of the transfer of CIFF's interest to the managed account. In order to effect the transfer and the redemption, the fund will aggregate the holdings of CIFF and CIFF US and will then transfer their pro rata share of the underlying assets held by the fund (including cash). CIFF (US) will receive only cash and CIFF will receive a slightly higher proportion of assets with less cash. In aggregate CIFF (US) and CIFF will not receive more than their aggregate pro-rata entitlement to cash or

securities in the fund. To the extent that it is not possible for any reason to transfer CIFF's pro rata share of any particular asset to the managed account, arrangements will be put into place to ensure that CIFF remains economically exposed to such assets which will continue to be held by the fund. It is not anticipated that the proposed redemption in specie will have any material adverse effect on the fund and, thus, investors as a whole. FSA compliant measures will be put in place to ensure fair treatment between the fund and CIFF's managed account. CIFF's equity investments held in the managed account will continue to be managed by TCI.

I did not make any redemptions from the fund during 2008 and have only made one redemption from the fund since inception – which amounted to less than 1% of my holding in the fund at that time. However, I reserve the right to submit redemption requests in the future on notice. I continue to remain fully committed to TCI.

8. Technology

In Q4 2008, we implemented an Order Management System (Eze Castle), providing automation to Trade Execution, pre-trade and post-trade compliance processes and related controls. The platform went live for the TCI fund, in early December and the benefits to the trading, compliance and operations teams are starting to come through.

9. Investor Relations

Liquidity profile

With lock-ups of three and five years, the fund has capital committed to it until 2013. Unlike many of our competitors, the lock-ups end on a monthly basis and the fund does not have the issue of having to deal with quarterly or annual cliffs. All external client redemptions made in 2008 were replaced with new capital. At this stage there are minor redemptions that have been placed for 2009 amounting to 4% of the fund's total assets. Given the turbulent market conditions and our large asset base, we are happy to let these small redemptions go without being replaced. The situation is being constantly reviewed.

Gates and redemption suspensions

With widespread news on funds putting up gates and suspending redemptions, the portfolio is sufficiently liquid to meet any redemptions that might occur. Moreover, it should be noted that investors who redeem will typically continue to receive their monies 15-20 days into the month following the finalisation of the NAV.

Tax estimates and audit reporting

With year-end reporting being undertaken, we would like to bring to your attention two important points: Firstly, we do not supply tax estimates to investors. Secondly, we kindly ask that all audit requests for confirmation of client holdings, valuations and other related matters be sent to Citco by email (tcifundcitco@citco.com).

Citco correspondence

We kindly ask that all correspondence to Citco be sent to tcifundcitco@citco.com to ensure your queries are dealt with promptly. Individuals leave, change roles or take holidays and so sending correspondence to individuals can mean your query is either not dealt with or gets delayed.

Due diligence

We are always open to clients undertaking the necessary work for a review of business management infrastructure, processes and counterparties. However, we ask that any

correspondence you wish to undertake with our counterparties you direct through us for the purposes of ease, efficiency and responsiveness. We confirm that we did not have any exposure to the Madoff Group.

2009 Investor Conference

As a reminder, the dates for the 2009 investor conference are detailed below and formal invitations with registration details will follow in due course:

- June 15, 2009: TCI Affiliates Day
- June 16, 2009: TCI Investor Day

10. Conclusion

For information on TCI and its affiliates please contact:

- Rahul Moodgal – Email: rahul@cliffordstreet.com; Tel: +44 20 7440 2384; or
- Jolanda Niccolini – Email: jolanda@cliffordstreet.com; Tel: +44 20 7025 7610.

During these difficult market conditions we thank you for your patience, continued trust and support. Indeed, we kindly ask that you continue to view your investment in the fund over a 3-5 year time horizon.

Christopher Hohn

Managing Partner
January 2009

Appendix 1 – TCI Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01%			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+6.14%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.13%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+1.07%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+4.05%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+1.95%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+8.02%
2006		+38.99%	+36.76%	+40.45%	+38.08%	+24.57%	+22.97%	+17.95%
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-0.65%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+1.59%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%	+2.06%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+4.21%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+2.47%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-0.90%
Q2 2007		+7.02%	+6.67%	+7.27%	+6.91%	+7.02%	+6.67%	+5.82%
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.89%	+0.98%	+0.86%	-2.28%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-6.35%	-5.97%	-6.14%	-0.27%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.16%	+9.24%	+8.85%	+4.61%
Q3 2007		+3.73%	+3.04%	+3.86%	+3.13%	+3.73%	+3.04%	+1.95%

Private and Confidential

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.31%	+8.13%	+8.03%	+2.99%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.67%	+3.62%	+3.55%	-4.24%
Dec 2007	12,643	+2.79%	+2.76%	+2.86%	+2.86%	+2.79%	+2.76%	-1.37%
Q4 2007		+15.17 %	+14.95 %	+15.62 %	+15.50 %	+15.17 %	+14.95 %	-2.74 %
2007		+37.59 %	+35.66 %	+38.97 %	+37.04 %	+37.59 %	+35.66 %	+7.09 %
Jan 2008	11,239	-6.24%	-6.38%	-6.24%	-6.60%	-6.24%	-6.38%	-7.71%
Feb 2008	10,714	-2.70%	-2.56%	-2.70%	-2.65%	-2.70%	-2.56%	-0.74%
Mar 2008	10,187	-1.05%	-0.83%	-1.05%	-0.86%	-1.05%	-0.83%	-1.25%
Q1 2008		-9.73 %	-9.54 %	-9.73 %	-9.86 %	-9.73 %	-9.54 %	-9.53 %
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.91%	+8.37%	+8.61%	+4.98%
May 008	12,709	+3.30%	+3.38%	+3.30%	+3.50%	+3.30%	+3.38%	+1.11%
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-13.12%	-12.96%	-12.68%	-8.10%
Q2 2008		-2.56 %	-1.96 %	-2.56 %	-2.07 %	-2.56 %	-1.96 %	-2.45 %
Jul 2008	11,233	+1.81%	+2.02%	+1.81%	+2.09%	+1.81%	+2.02%	-2.53%
Aug 2008	11,639	-2.60%	-2.46%	-2.60%	-2.54%	-2.60%	-2.46%	-1.60%
Sep 2008	10,257	-14.88%	-15.08%	-14.88%	-15.61%	-14.88%	-15.08%	-12.08%
Q3 2008		-15.59 %	-15.49 %	-15.59 %	-16.04 %	-15.59 %	-15.49 %	-15.67 %
Oct 2008	9,763	-13.39%	-14.41%	-13.39%	-14.91%	-13.39%	-14.41%	-19.04%
Nov 2008	8,685	-9.67%	-9.78%	-9.67%	-10.12%	-9.67%	-9.78%	-6.72%
Dec 2008	7,093	-2.06%	-2.16%	-2.06%	-2.24%	-2.06%	-2.16%	3.06%
Q4 2008		-23.38 %	-24.45 %	-23.38 %	-25.24 %	-23.38 %	-24.45 %	-22.18 %
2008		-43.11 %	-43.37 %	-43.11 %	-44.59 %	-43.11 %	-43.37 %	-42.08 %
Annualised		+18.24%	+17.47%	+19.29%	+17.94%	n/a	n/a	-2.35%
Inception		+131.11%	+123.72%	+141.59%	+128.20%	n/a	n/a	-11.20%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

Appendix 2 – The Children's Investment Fund Foundation (CIFF) 2008 Summary

Most significantly in 2008, CIFF Trustees raised the bar on the Foundation's aspirations for its charitable programs. This decision was based on CIFF's growth in assets coupled with a growing track record and confidence in its ability to effect change. In place of seeking national change around a set of specific issues, CIFF is now committed to funding programs with the potential for global transformation in seven areas that span the life cycle of children: child survival, hunger and nutrition, early childhood development, educational attainment, the care environment, reproductive health and economic readiness.

Seeking "Big Win" Investments

CIFF aims to invest consistently behind programs with potential for "big wins" — i.e. opportunities to effect a profound improvement in well-being indicators in our priority impact areas benefiting large numbers of children, and where success extends well beyond the direct impact of the funded program. Our investment criteria remain unchanged from CIFF's historical requirements: tangible targets for impacting children, scale, replicability, sustainability, value for money and leverage. Recent examples of how this investment philosophy is translating into specific investments include: backing a low-cost methodology that has the potential to help millions of children to read and do basic math (who would otherwise have grown up unable to do so); funding a cohort of partners in a coordinated effort whose ultimate objective is the virtual elimination of pediatric HIV/AIDS; and saving over 50,000 children's lives annually through a global initiative to reach one billion people with essential nutrients by fortifying staple foods.

AID INDIA & Educational Attainment

Although 95% of India's children attend primary school, fewer than half of those who reach the equivalent of 5th grade can read at a basic level. Currently the norm is for teachers in India (and elsewhere in the developing world) to teach hugely overcrowded classes through rote learning. CIFF is providing the funding to expand AID India's approach to pedagogy in Tamil Nadu, which is among the bottom three states in reading and math (65% of 5th graders cannot read at a second grade level and 83% cannot do simple division). AID India trains and supports teachers in the state school system to classify and group children according to their ability levels in a growing range of subjects. They then introduce teachers to experiential learning and provide them with materials to enable children to progress through the stages of competency. In a "pilot" of 450,000 children in 7,300 schools, independent research demonstrated that that AID India's approach increased the number of children able to read from 54% to 85% in 5 months, all at an annual cost of little more than \$1 per child.

Currently, CIFF is enabling AID India to expand to firmly establish the pedagogy in 1/3 of Tamil Nadu's districts and fund an external validation of impact. If the model proves successful, it is understood that the Tamil Nadu government will adopt the pedagogy state-wide, incorporating all of its 10 million primary students into this learning approach. CIFF anticipates that proven success in Tamil Nadu will inform India's national education agenda. We are also exploring opportunities to adapt and expand aspects of the AID India methodology into Africa.

Prevention of Mother to Child Transmission & Child Survival

AIDS continues to be the leading cause of mortality in Africa, contributing to the deaths of approximately 300,000 children under the age of 15 annually. Virtually all of these children contracted the disease either in pregnancy, birth or through breastfeeding. Through a partnership with the Clinton Foundation, CIFF has enabled affordable treatment of infected children at scale. Yet, the imperative is to prevent children contracting the

disease in the first place. We know this is possible—in developed countries transmission of the disease to children around pregnancy has been virtually eliminated (AIDS was once the biggest killer of children in New York state). We can have a similar impact by providing pregnant women in the developing world with antiretrovirals through their pregnancies and breastfeeding. Yet, the approach to prevention currently being primarily advocated and expanded throughout Africa and other high impact countries is only marginally effective.

CIFF is funding a cohort of grantees working in a number of countries (Kenya, Uganda, Tanzania, Malawi and Ethiopia) to demonstrate at scale the efficacy of providing mothers with the protocol of treatment that will ensure children are born and stay HIV-negative. In each case, the aim is to demonstrate that this more aggressive approach to prevention will dramatically reduce transmission and also save money by eliminating future treatment costs. The goal is to sway governments and the other key stakeholders (donors, UN agencies and other practitioners) into adopting this more effective intervention as the norm.

GAIN & Hunger and Nutrition

Deficiencies of four nutrients—vitamin A, iron, folic acid and zinc—are proven to be among the key contributors to maternal and child mortality, pre-mature births, stunting, diarrhea, pneumonia, malaria, blindness and neural tube defects. In partnership with the Gates Foundation, CIFF has funded the Global Alliance for Improved Nutrition (GAIN) to fortify the most prevalent household food items in 22 countries, ranging from rice to fish sauce to cornmeal, with these minerals and vitamins. Among the strengths of the initiative is that the health of 1 billion people can be improved without requiring any behavior change and with negligible ongoing costs to consumers, producers and governments.

GAIN has been consistently successful in getting producers to voluntarily begin fortifying their products, and in supporting them (in partnership with the World Health Organisation) by directing the amounts and constitution of nutrients to be added to specific items and certifying the enhanced product quality. In addition to technical support, GAIN contributes to initial costs of purchasing mixers, quality control oversight, and public awareness campaigns as well as negotiating with vitamin suppliers and supporting a loan mechanism for the initial purchase of the nutrient mixes for smaller producers.

Central to the success of the initiative is the buy-in and cooperation between government and the private sector. GAIN thus facilitates the development of high functioning national fortification alliances that include the relevant ministerial posts, producers and other key stakeholders. The program ultimately requires strong policy mandates for fortification and on-going supervision.

In several target countries, GAIN will also pilot initiatives to reach poorer, and the most at-risk populations, for example by working with producers to sell items in smaller quantities and ensuring the World Food Program is distributing fortified products. A robust system is being put in place to measure biometric indicators, as well as direct changes in health outcomes. At a minimum, it is anticipated that this initiative will result within 5 years in the annual averted of 55,000 child deaths and 3,500 maternal deaths.

Foundation Staffing

We have this past year recruited heavily and succeeded in bringing aboard most of the staff required to deliver CIFF's more ambitious aspirations. Located in hubs in London, Delhi and Nairobi, the team now numbers 35, double the level from a year ago. CIFF operates along the lines of a private equity model. Staff are divided into an "investment team" charged with identifying the organisations and ideas that can deliver transformational change for children and a "portfolio team" that ensures that programs

are well executed and that the maximum impact is achieved from CIFF's investment. Across the board, we seek to employ individuals that can meet CIFF's high standards both for rigor and for problem solving. We continue to hire mostly people that bring a blend of development and private sector experiences. Many of our staff have had highly successful careers in investment banking, consulting and private equity, and a notable number of our more recent hires also bring a science background. We have further hired extremely highly qualified candidate to head CIFF's special initiative in Climate Change, again with a background that spans the non-profit and private sectors. CIFF believes that not addressing the warming of the earth's atmosphere poses an unprecedented threat to health, water supplies and stability in the regions where we focus, and thus has the potential to undermine all our other efforts.